CHAPTER 2

RECONSTITUTION ADMISSION OF A PARTNER

CHAPTER ESSENCE AT A GLANCE:
Account for incoming partner capital, goodwill valuation and accounting under AS-26, revaluation of assets and reassessment of liabilities, and new profit sharing ratios.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Sacrificing Ratio Determination:** Existing partners surrender a fraction of their old profit share in favor of the incoming partner, calculated as Old Profit Share minus New Profit Share.

• **Goodwill Accounting Under AS-26:** Internally generated goodwill cannot be recognized as an asset in the balance sheet; premium brought in by the new partner is credited strictly to sacrificing partners in their sacrificing ratio.

• **Revaluation Account Equilibrium:** Assets and liabilities are revalued to current market prices in a Revaluation Account, with net gain or loss distributed to old partners in their old profit-sharing ratio.

• **Capital Adjustments and Cash Settlement:** Partners' capitals are adjusted to match their new profit-sharing proportions, settling surpluses or deficits via cash payments or current accounts.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Sacrificing Ratio} = \text{Old Profit Share} - \text{New Profit Share}$$

Fundamental Partner Sacrificing Ratio Equation

$$\text{Goodwill Share to Sacrificing Partner} = \text{Premium Paid by New Partner} \times \frac{\text{Partner Sacrifice}}{\sum \text{Sacrifice}}$$

Premium for Goodwill Allocation Rule

$$\text{Revaluation Net Gain} = (\uparrow \text{Assets} + \downarrow \text{Liabilities}) - (\downarrow \text{Assets} + \uparrow \text{Liabilities})$$

Revaluation Account Nominal Net Profit Formula

$$\text{Hidden Goodwill} = (\text{New Partner Capital} \times \text{Reciprocal of Share}) - \text{Total Combined Adjusted Capital}$$

Implied or Hidden Goodwill Ascertainment Model

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Goodwill already appearing in the old balance sheet must be written off completely among old partners in their old profit-sharing ratio before admitting the new partner.

• **Alert:** If an incoming partner brings goodwill in cash, credit 'Premium for Goodwill Account', then transfer to sacrificing partners' capital accounts in their sacrificing ratio.

• **Alert:** Revaluation expenses paid by the firm on behalf of a partner are debited to that partner's capital account, not to the Revaluation Account.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is Sacrificing Ratio? Why is it calculated at the time of admission of a new partner? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The ratio in which old partners surrender their share of profits in favor of the newly admitted partner (Old Share minus New Share). **[1 Mark]**

• **Purpose:** To compensate the sacrificing partners for surrendering profit share by dividing the premium for goodwill brought by the incoming partner. **[1 Mark]**

2. State the accounting treatment of Goodwill existing in the balance sheet at the time of admission of a partner. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Write-Off Requirement:** Existing goodwill must be written off immediately among old partners in their old profit sharing ratio according to AS-26. **[1 Mark]**

• **Journal Entry:** Debit Old Partners' Capital Accounts (in old ratio) and Credit Goodwill Account. **[1 Mark]**

3. Explain the nature and purpose of a Revaluation Account. What does its final balancing figure indicate? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Nature and Purpose:** A nominal account prepared to record changes in the market values of assets and liabilities up to the date of reconstitution. **[1 Mark]**

• **Mechanism:** Credited with increases in asset values and decreases in liabilities; debited with decreases in asset values and increases in liabilities. **[1 Mark]**

• **Balancing Figure:** Credit excess represents Revaluation Profit; debit excess represents Revaluation Loss; transferred to Old Partners' Capital Accounts in old profit-sharing ratio. **[1 Mark]**

4. A and B are partners sharing profits in the ratio of 3:2. They admit C into partnership for one-fifth share of profits. Calculate the New Profit Sharing Ratio and Sacrificing Ratio. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Remaining Share:** Let total profit = 1. Remaining share for A and B = 1 - (1 divided by 5) = (4 divided by 5). **[1 Mark]**

• **New Shares:** A = (3 divided by 5) * (4 divided by 5) = $\frac{12}{25}$; B = (2 divided by 5) * (4 divided by 5) = $\frac{8}{25}$; C = (1 divided by 5) = (5 divided by 25). New Profit Sharing Ratio = 12:8:5. **[1 Mark]**

• **Sacrificing Ratio:** Since C acquired share proportionally, Sacrificing Ratio equals Old Ratio = 3:2. (A sacrifice = (3 divided by 5) - (12 divided by 25) = (3 divided by 25); B sacrifice = (2 divided by 5) - (8 divided by 25) = (2 divided by 25)). **[1 Mark]**

5. Pass journal entries for the admission of Z who brings Rs 50,000 as capital and Rs 20,000 as premium for goodwill for one-fourth share, shared equally by old partners X and Y. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(1) Cash Inflow:** Debit Bank $\frac{A}{c}$ Rs 70,000, Credit Z Capital Account Rs 50,000, and Credit Premium for Goodwill $\frac{A}{c}$ Rs 20,000. **[1.5 Marks]**

• **(2) Premium Distribution:** Debit Premium for Goodwill $\frac{A}{c}$ Rs 20,000, Credit X Capital Account Rs 10,000, and Credit Y Capital Account Rs 10,000 (equal sacrifice 1:1). **[1.5 Marks]**

6. A and B have capitals of Rs 60,000 and Rs 40,000 respectively. They admit C for one-fourth share with capital of Rs 50,000. Calculate the Hidden Goodwill of the firm and C's share of goodwill. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Capitalized Total Firm Capital:** C brings Rs 50,000 for one-fourth share. Implied total capital = Rs 50,000 * 4 = Rs 2,00,000. **[1 Mark]**

• **Existing Combined Capital:** A (Rs 60,000) + B (Rs 40,000) + C (Rs 50,000) = Rs 1,50,000. **[1 Mark]**

• **Hidden Goodwill:** Firm Hidden Goodwill = Rs 2,00,000 - Rs 1,50,000 = Rs 50,000. C's share of goodwill = Rs 50,000 * (1 divided by 4) = Rs 12,500. **[1 Mark]**

7. P and Q are partners sharing in 3:2 ratio. On 1st April 2024, they admit R. The revaluation entries reveal: (1) Building appreciated by Rs 15,000, (2) Stock depreciated by Rs 5,000, (3) Provision for doubtful debts created for Rs 2,000, (4) Unrecorded investment discovered worth Rs 4,000. Prepare Revaluation Account. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Credit Side Inflows:** By Building $\frac{A}{c}$ Rs 15,000; By Unrecorded Investment $\frac{A}{c}$ Rs 4,000. Total Credits = Rs 19,000. **[1.5 Marks]**

• **Debit Side Costs:** To Stock $\frac{A}{c}$ Rs 5,000; To Provision for Doubtful Debts $\frac{A}{c}$ Rs 2,000. Total Debits = Rs 7,000. **[1 Mark]**

• **Profit Distribution:** Total Credit Rs 19,000 - Total Debit Rs 7,000 = Revaluation Profit Rs 12,000. Distributed to P ($\frac{3}{5}$ = Rs 7,200) and Q ($\frac{2}{5}$ = Rs 4,800). **[1.5 Marks]**